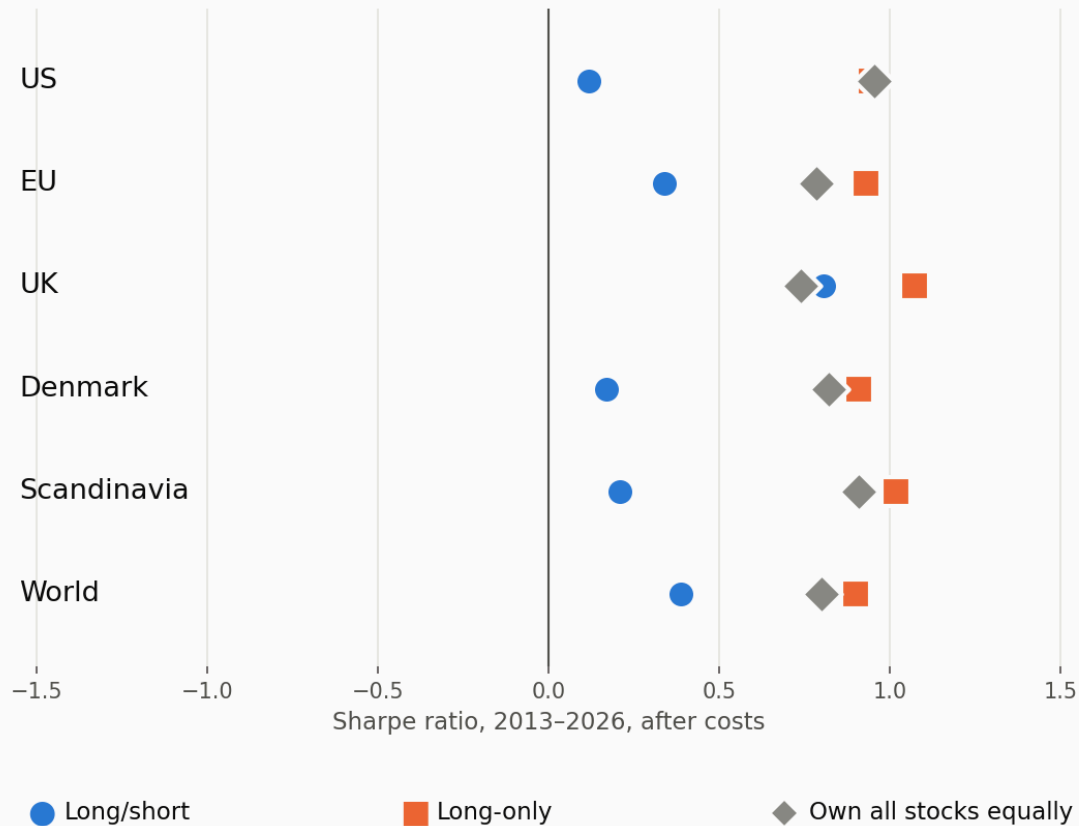


Betting against beta

Lever up the low-beta stocks, short the high-beta ones



Long/short positive in all six markets; long-only beat owning all stocks in 5 of six.

Henrik Gjernerig · Project 10 · point-in-time universes, local currency (World in USD)

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Low-beta stocks have higher risk-adjusted returns than high-beta stocks. A portfolio that is long leveraged low-beta stocks and short de-leveraged high-beta stocks, beta-neutral, earned a large positive return in the US 1926–2012 and in 19 other markets (Frazzini & Pedersen 2014).

I tested it on six markets, 2013–2026: US, Europe, UK, Denmark, Scandinavia and the world. Point-in-time index members, after costs.

Long/short (low-beta stocks minus high-beta stocks): +2.0% to +9.5% a year, positive in all six markets. Adjusted for market beta: -0.8% to +7.9%.

Long-only (low-beta stocks): a better Sharpe than owning all the stocks equally in 5 of six markets.

The pre-declared fixes (beta-neutral legs, a turnover buffer, volatility targeting) took the 2020–26 holdout Sharpe from 0.00 to 0.07.

360° view: it keeps some information beyond its nearest neighbours.

Full factsheet with P&L, trade records, drawdowns, factor attribution, fixes, classification and the 360° view: <https://hgjernerling.github.io/now-showing/factsheets/fs10-betting-against-beta>

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